

M31 Technology (6643 TT)

Share price (12 Aug): TWD456.50

12-mth rating: Buy (1)

Information Technology: Taiwan

The future is still there, just further away

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Summary: M31 reported a 2Q26 result that missed both our and consensus estimates, mainly due to delayed license project recognition, which led to scale diseconomies and a quarterly loss. Yet management remains optimistic that the delayed revenue can be recognized in 2H26 and thus reiterates its double-digit growth rate outlook for 2026. While we see downside risk to our current forecast trajectory, we are positive on M31's structural business outlook. We have a Buy (1) rating on the stock with a 12M TP of TWD750.

Highlight

- **2Q26 results missed on scale.** M31 reported 2Q26 net loss of TWD3m, vs. our/consensus net profit estimates of TWD93m/TWD68m. We attribute the miss to lower-than-expected revenue, which came in at just TWD422m, missing our/consensus estimates by 20%/16% for scale diseconomies unable to cover opex of around TWD420-440m per quarter. M31 failed to recognise delayed license projects which it had expected at its results call last quarter: that the April revenue uptick should set a good stage for its monthly run-rates into May-June ([Structural turnaround round the corner](#), 6 May). Management indicated that projects below 16nm have longer timelines, and some high-value projects are now recognized as licensing fees over five phases instead of three. Together, these factors lengthen the recognition period and mute near-term revenue growth. Management reiterated a "cautiously optimistic" view that the delayed revenue can be recognized in 2H26 and the company could achieve its 2026 outlook for double-digit YoY growth rate. That said, we see downside risk to our current forecast trajectory and will be reviewing our model in due course.
- **Projects delayed, not derailed.** While near-term revenue recognition came in below street expectations, the underlying growth drivers remain intact. High-speed interface functional IP and Foundation IP remain key focus areas, with PCIe, USB, UFS, MIPI and SerDes IPs supporting ongoing demand for high-speed transmission and image processing. M31 expects its PCIe Gen 6 project is to tape out in August, with planned development of 112G SerDes in 2H26. Overall, M31's pipeline across mature and advanced process nodes, deep collaboration with main foundry partners, along with demand from high-end consumer, edge and cloud AI, AIoT and automotive applications, should continue to support its structural growth outlook.

Recommendation

We rate M31 Buy (1) with a 12M TP of TWD750, based on our 4-quarter forward PER target of 45x. The stock has tumbled c.40% off its recent peak in May, introducing an attractive risk/reward profile on valuation grounds, in our opinion. Key downside risk to our current rating would be any geopolitical overhang (war, FX, interest rate) weighing on end-demand and delaying M31's royalty revenue ramps.

M31: 2Q26 results review and 3Q26 outlook

TWDm	2Q26			Variance		Growth		Guidance	3Q26E
	Actual	Daiwa	Consensus	Daiwa	Consensus	QoQ	YoY		Daiwa
Revenue	422	528	505	-20%	-16%	7%	-6%	na	c.TWD624m
License	347	434	na	-20%	na	7%	-14%		
Royalty	75	94	na	-20%	na	5%	68%		
Gross profit	422	528	505	-20%	-16%	7%	-6%		
Opex	-439	-425	-448	3%	-2%	-5%	7%	na	OPM=29%
Operating profit	-17	103	57	nm	nm	nm	nm		
Pretax profit	-4	108	79	nm	nm	nm	nm		
Net profit	-3	93	68	nm	nm	nm	nm		
FD EPS (TWD)	-0.07	2.22	1.63	nm	nm	nm	nm		
Margin									
Gross	100.0%	100.0%	100.0%	0.0%	0.0%				
Operating	-4.0%	19.5%	11.2%	-23.5%	-15.2%				
Net	-0.6%	17.6%	13.5%	-18.2%	-14.1%				

Source: Company, Daiwa estimates and forecasts

In the interests of timeliness, this document has not been edited

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 June 2026.

* comprised of Daiwa's Buy and Outperform ratings.

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